

Premveer Shah v. State of U.P. & Others

High Court of Judicature at Allahabad · Division Bench · 31 May 2024 · 2024:AHC:100218-DB · Writ-C No. 7975 of 2024 · **The impugned assessment orders dated 13.02.2024 were held to have been rendered illegal and were quashed; the electricity connection was directed to be restored after verifying that there are no dues and no legal impediment; the petition was disposed of, the licensee's own three-member inquiry having found that the procedure was not followed, that there was no theft of electricity and that the revenue assessment was erroneous, with three officials charge-sheeted.**

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HEADNOTE

On a petition to quash two assessment orders dated 13.02.2024 and restore a disconnected electricity supply, the Division Bench held that the procedure stipulated under Clause 6.8 of the U.P. Electricity Supply Code, 2005 (read with Section 126 of the Electricity Act, 2003) had not been followed. Observing that it was repeatedly coming across assessment cases where the Code's procedure was ignored — causing loss of revenue to the State and burdening the Court with unnecessary litigation — and that earlier assurances by the DISCOMs' Managing Directors to issue guidelines and monitor compliance had not been honoured, the Court permitted the petitioner to implead the U.P. Power Corporation (which controls all four DISCOMs) through its Managing Director and directed affidavits on remedial steps. Those affidavits disclosed a corporation-wide instruction to strictly follow Section 126 r/w Clause 6.8, officer training, and a committee treating non-compliance as misconduct attracting disciplinary action. On the licensee's own three-member committee finding that the prescribed procedure had not been followed, that the past assessment was erroneous, that there was in fact no theft of electricity, and charge-sheeting three officials, the Court held the impugned assessment orders had been rendered illegal, quashed them, and directed restoration of the connection subject to verifying there were no dues and no legal impediment; coercive recovery had been stayed throughout.

FACTUAL SUMMARY

The petitioner, Premveer Shah, filed Writ-C No. 7975 of 2024 seeking to quash two assessment orders dated 13.02.2024 and to restore his electricity supply, complaining that the assessment had been made without following the prescribed procedure. The matter was heard by the Bench across a series of orders between 12.03.2024 and 31.05.2024. On 20.03.2024 the Court found that the procedure under Clause 6.8 of the U.P. Electricity Supply Code, 2005 had not been followed, noted the recurring pattern of such non-compliance and the failure of earlier ministerial assurances, impleaded the U.P. Power Corporation Ltd. through its Managing Director as respondent no. 5, and directed the Managing Directors of UPPCL and Dakshinanchal Vidyut Vitran Nigam Ltd. to file affidavits on remedial steps; coercive recovery was stayed. On 01.04.2024 the affidavits disclosed a UPPCL letter dated 27.03.2024 to all DISCOM MDs to strictly follow Section 126 r/w Clause 6.8, a training session on 25.03.2024, a three-step remedial plan, and a DVVNL office memorandum dated 28.03.2024 constituting a three-member committee to identify and propose action against defaulting officers. After further adjournments (during which a final assessment order was passed and objections were heard), the DVVNL Managing Director's affidavit filed by 31.05.2024 stated that the three-member committee had found three officials guilty of not following the procedure and charge-sheeted them, that the past assessment was erroneous, and that the inquiry had found there was no theft of electricity and the revenue assessment was wrong, the Chief Engineer having directed the Executive Engineer to act on those findings.

REUSABLE CONSTRUCTIONS

1. An assessment made without following the procedure under Clause 6.8 of the U.P. Electricity Supply Code, 2005 read with Section 126 of the Electricity Act, 2003 is illegal; where the licensee's own inquiry finds that the procedure was not followed, that there was no theft, and that the revenue assessment was erroneous, the assessment orders are liable to be quashed and the connection restored subject to verifying there are no dues and no legal impediment. **order of 31.5.2024**
2. Where officers of the DISCOMs persistently disregard the statutory assessment procedure despite earlier assurances by their Managing Directors, the High Court may permit impleadment of the U.P. Power Corporation (the holding entity of all four DISCOMs) through its Managing Director, require affidavits on remedial steps, and insist on corporation-wide guidelines, officer training and disciplinary action against defaulting officers. **order of 20.3.2024; order of 1.4.2024**

3. Repeated failure to follow the prescribed assessment procedure causes loss of revenue to the State and burdens the Court with unnecessary litigation; treating such non-compliance as misconduct inviting disciplinary action is an appropriate institutional response. **order of 20.3.2024**

HOLDING-UNITS

INTERPLAY · UP-2005::6.8

RATIO

Assessment quashed for non-compliance with Clause 6.8 r/w s.126 where the licensee's own inquiry found no theft and an erroneous assessment

QUESTION

Where an assessment is made without following the procedure under Clause 6.8 of the Code read with Section 126 of the Electricity Act, 2003, and the licensee's own inquiry finds that there was no theft and that the assessment was erroneous, are the assessment orders liable to be quashed?

HOLDING

Yes. The Court found that the procedure stipulated under Clause 6.8 of the Code had not been followed. On the Managing Director's affidavit disclosing that the licensee's three-member committee had found three officials guilty of not following the prescribed procedure (who were charge-sheeted), that the past assessment was erroneous, and that there was in fact no theft of electricity, the impugned assessment orders dated 13.02.2024 were held to have been rendered illegal and were quashed; the connection was directed to be restored after verifying that there were no dues and no legal impediment. **order of 20.3.2024; order of 31.5.2024**

EVIDENCE *"the procedure stipulated under Clause 6.8 of the U.P. Electricity Supply Code, 2005 has not been followed"*
order of 20.3.2024

EVIDENCE *"It also transpired in the inquiry held by Three Member Committee that there was no theft of electricity and the revenue assessment done was wrong."* **order of 31.5.2024**

EVIDENCE *"we are of the opinion that the impugned assessment orders have been rendered illegal and are, accordingly, quashed."* **order of 31.5.2024**

FLAG Source is an order-sheet across eight dates (12.3.2024-31.5.2024); not paginated, and although paragraphs within each order are numbered they restart each date, so pins reference the order dates. Final reasoned disposal on 31.5.2024 (Neutral Citation 2024:AHC:100218-DB).

HOLDING-UNIT · EA2003::126

OBITER

Systemic supervision of DISCOM non-compliance with the s.126 assessment procedure

QUESTION

What supervisory measures may the Court take where the DISCOMs' officers repeatedly fail to follow the mandatory assessment procedure under Section 126 read with Clause 6.8 despite earlier assurances?

HOLDING

Observing that it was repeatedly coming across cases where the assessment procedure under the Code was not being followed — causing loss of revenue and burdening the Court with unnecessary litigation — and that earlier assurances by the DISCOMs' Managing Directors to issue guidelines and monitor compliance had not been honoured, the Court permitted the petitioner to implead the U.P. Power Corporation (which controls all four DISCOMs) through its Managing Director as respondent no. 5 and directed affidavits on remedial steps. This yielded a corporation-wide instruction to strictly follow Section 126 r/w Clause 6.8, officer training, and constitution of a committee treating non-compliance as misconduct attracting disciplinary action. **order of 20.3.2024; order of 1.4.2024**

EVIDENCE *"We are coming across several cases where the procedure for assessment provided under the Code is not being followed and on account of which the Court is compelled to intervene."* **order of 20.3.2024**

EVIDENCE *"Since all the four DISCOMs come under U.P. Power Corporation, therefore, we permit the petitioner to implead U.P. Power Corporation through its Managing Director as respondent no.5 to the instant proceedings."* **order of 20.3.2024**

PRINCIPLE TAGS

assessment-quashed-for-breach-of-clause-6.8-procedure

The impugned assessment orders were quashed as illegal because the Clause 6.8 r/w s.126 procedure had not been followed, as confirmed by the licensee's own inquiry. [order of 31.5.2024](#)

licensee-inquiry-finding-no-theft-vitiates-assessment

The DVVNL three-member committee found no theft and an erroneous assessment and charge-sheeted three officials; on that stand the revenue assessment was held illegal and quashed. [order of 31.5.2024](#)

high-court-supervision-of-code-assessment-non-compliance

Faced with recurring non-compliance and unhonoured past assurances, the Court impleaded the U.P. Power Corporation through its Managing Director and required affidavits, yielding corporation-wide guidelines, training and a disciplinary committee. [order of 20.3.2024](#); [order of 1.4.2024](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — THE FINAL OUTCOME OF THE DISCIPLINARY PROCEEDINGS AGAINST THE THREE CHARGE-SHEETED OFFICIALS AND THE CORPORATION-WIDE STATUS REPORTS ON NON-COMPLIANT ASSESSMENTS

These were directed and set in motion but not adjudicated; the petition was disposed of on the licensee's concession that the procedure was not followed, that there was no theft and that the assessment was erroneous. [order of 31.5.2024](#)

RELATED CASES — SEE ALSO

SCJ-2633 — Shwetanshu Kumar Ojha (2023) — companion order of the same Bench (Court No. 21): a mechanical theft assessment under Clause 8.1 set at naught on the record, with the Managing Director's affidavit directing review and withdrawal of non-compliant recoveries.

SCJ-2632 — M/S Paras Agro (2021) — Section 126 r/w the Code: the provisional demand must be served and objections adjudicated before recovery.

SCJ-092 — Navi Hasan (2022) — an assessment order that disregards the writ court's directions to confront the consumer with adverse material, permit objections and hold a hearing is unsustainable.

SCJ-057 — M/S Kissan Chilling Udyog (2014) — a theft-based Section 126 assessment must strictly follow Clause 6.8 of the Code (inspection report, show-cause, hearing).

SCJ-049 — M.D., PVVNL (2012) — an assessment for 'unauthorised use of electricity' referable to Section 126 is a statutory function to be exercised following the prescribed procedure.